■ Margin Account Guide

Non-Registered Investing — Interest Deduction · Capital Gains · Tax Implications

Account 4 of 4 · Tabs: Margin Portfolio · Margin Interest · Tax Dashboard

What is a Margin Account?

A margin account is a non-registered (taxable) brokerage account that lets you borrow money against your existing investments to buy more securities. Unlike registered accounts, every dollar of income, dividends, and capital gains in a margin account has tax consequences — but the rules are generous, and margin interest is 100% tax-deductible.

■ *The Margin account is the most tax-complex of the 4 accounts. This tracker automatically calculates your ACB, capital gains, and Line 22100 deduction — so you are tax-ready at year end.*

Tax Implications — Margin Account (Non-Registered)

Income Type	Tax Rate / Treatment	CRA Line	Tracker Tab
Canadian Eligible Dividends	38% gross-up applied → dividend tax credit (~15%) offsets → net effective rate ~15–25% at most brackets	Line 12000 + Schedule 4	Tax Dashboard
US / Foreign Dividends	15% IRS withholding deducted at source. No recovery mechanism beyond partial T2209 foreign tax credit.	Line 12100	Tax Dashboard
Capital Gains (realized)	50% inclusion — only HALF of net capital gains are added to taxable income. At 28.2% bracket: effective rate of 14.1% on the gain.	Schedule 3 → Line 12700	Tax Dashboard
Margin Interest Paid	100% deductible as a carrying charge — reduces your taxable income dollar for dollar.	Line 22100	Margin Interest Tracker + Tax Dashboard
Return of Capital (ROC)	Not taxable when received — reduces your ACB instead. Deferred until you sell.	Reduces ACB	Margin Portfolio (ACB col)
DRIP (Margin)	FMV of shares received = taxable dividend income in the year received. ACB of new shares = FMV.	Line 12000	Transaction Log + Tax Dashboard

Canadian Eligible Dividends — How the Tax Credit Works

Canada's dividend tax credit system is designed to prevent double taxation of corporate income. Here's how the math works at a 28.2% marginal rate:

Step	Amount	Notes
Dividend received (cash)	$1,000.00	What lands in your account

Gross-up at 38%	+$380.00	CRA treats this as $1,380 pre-corporate-tax income
Amount reported on Line 12000	$1,380.00	Grossed-up dividend — what goes on your T1
Federal dividend tax credit (15.02%)	-$207.28	Credited directly against federal taxes owed
Provincial credit (varies by province)	Varies	BC has additional provincial dividend credit
Effective tax rate on $1,000 dividend	~18–22%	Far lower than 28.2% marginal rate on interest income

■ *T5 slips from your broker already show the grossed-up amount in Box 25 and the dividend tax credit in Box 26. Compare to your Tax Dashboard totals at year end.*

Capital Gains — ACB Tracking

Adjusted Cost Base (ACB) is the total cost of acquiring an investment, including all purchases, reinvested dividends, and transfer-in values. Capital Gain = Sale Proceeds – ACB – Selling Costs.

ACB Event	Effect on ACB	Example
Buy shares	Increases ACB	Buy 100 shares at $50 = ACB increases by $5,000
DRIP shares	Increases ACB	DRIP 2 shares at $50 FMV = ACB increases by $100
Sell shares	Reduces ACB proportionally	Sell 50 of 100 shares: ACB per share stays same; remaining ACB = 50 × ACB/share
Return of Capital	REDUCES ACB	ROC distribution of $200 reduces your ACB by $200 — creates larger future gain
Transfer in	ACB = FMV at transfer date	Moving shares in from another account: use FMV on transfer date as your ACB

■ *The Margin Portfolio tab calculates ACB automatically from your Transaction Log entries. Every Buy, DRIP, and Transfer In adjusts your ACB. Never delete historical transactions.*

Line 22100 — Margin Interest Deduction

Margin interest paid on money borrowed to earn investment income is 100% deductible on CRA Line 22100 as a "carrying charge." This is one of the most powerful and underused tax deductions for Canadian investors.

Rule	Detail
What qualifies	Interest on loans used to purchase investments that earn income (dividends, interest)
What does NOT qualify	Interest on loans to buy non-income-producing assets (gold, crypto, TFSA contributions)
How to claim	Total all margin interest paid in the year → enter on CRA Line 22100
Tax saving example	At 28.2% bracket: $3,000 interest paid = $846 tax refund
How tracker helps	Every "Margin Interest" entry auto-totals in Margin Interest Tracker and Tax Dashboard → Line 22100

Documentation	Keep brokerage statements showing interest charged. CRA may request for 7 years.
Break-even yield	Tracked monthly: Annual Interest ÷ Portfolio Value = minimum return needed to justify borrowing

US Dividend Withholding — The Margin Problem

Account	US Dividend	IRS Withholding	Recovery	You Keep
RRSP	$1,000	$0 (Canada-US treaty)	N/A — full amount	$1,000.00
TFSA	$1,000	$150 (15%)	None — permanently gone	$850.00
Margin	$1,000	$150 (15%)	Partial T2209 foreign tax credit	~$875–925
RESP	$1,000	$150 (15%)	None	$850.00

■ *BOTTOM LINE: Hold US dividend stocks in your RRSP. It is the ONLY account where the Canada-US tax treaty eliminates IRS withholding. Holding US dividend stocks in TFSA or Margin costs you 15% every single year — unrecoverable.*

How to Log Margin Transactions in the Tracker

Transaction	Account	Type	What to Enter
Buy stock/ETF	Margin	Buy	Ticker (TSE:ENB), Shares, Price/Share — ACB auto-calculates
Sell stock/ETF	Margin	Sell	Ticker, Shares sold, Sale price — capital gain goes to Tax Dashboard
Canadian dividend	Margin	Dividend	Ticker, Amount in Col K — goes to Line 12000 in Tax Dashboard
US dividend	Margin	Dividend	Ticker, Amount in USD, FX rate auto-fetches — goes to Line 12100
DRIP	Margin	DRIP	Ticker, New shares, Price/Share — taxable dividend + ACB adjustment
Interest charge	Margin	Margin Interest	Amount from your brokerage statement in Col K — goes to Line 22100
Return of capital	Margin	Dividend	Log with note "ROC" — manually adjust ACB (ROC reduces your cost base)